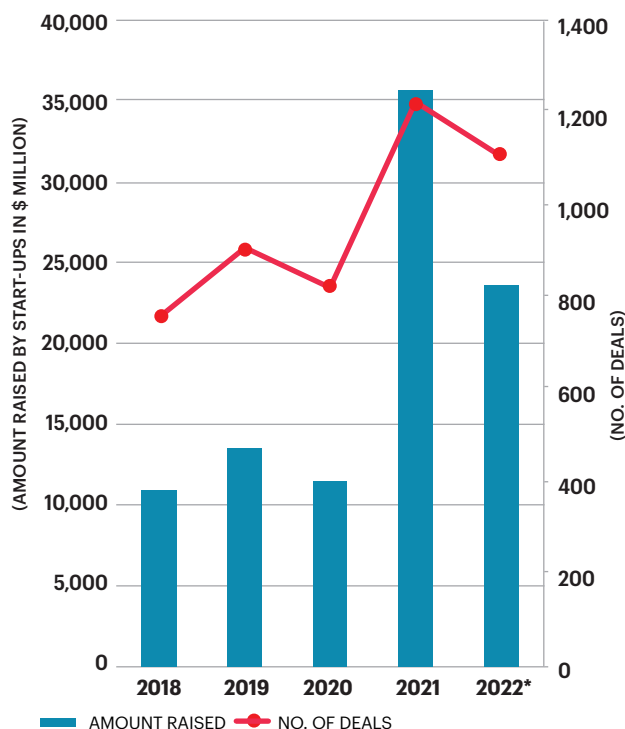


WINTER IS HERE

Start-up funding has dropped significantly in 2022



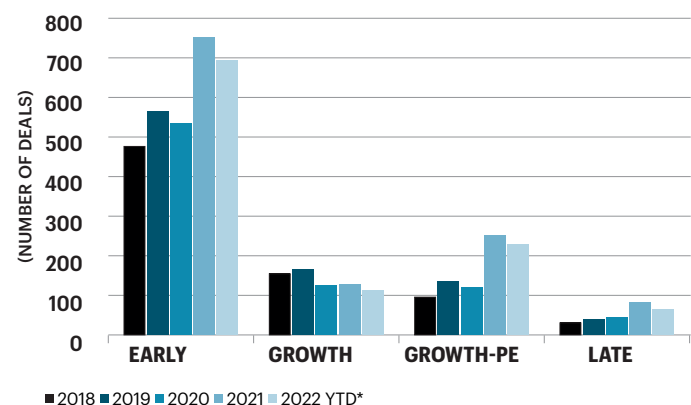
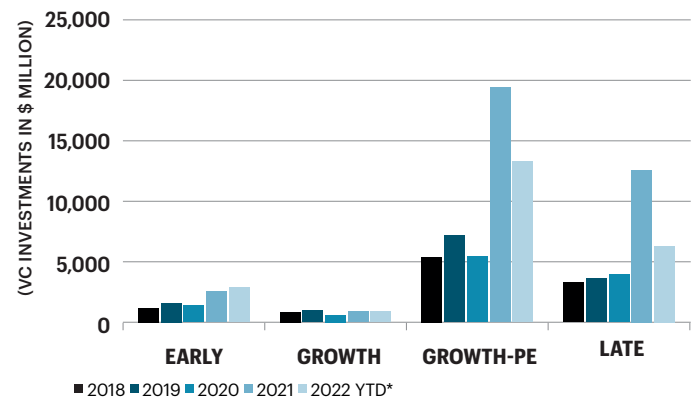
*AS OF DECEMBER 13, 2022

ALL FIGURES ARE FOR RESPECTIVE CALENDAR YEARS
NOTE: VC INCLUDES SEED-TO-SERIES F INVESTMENTS IN COMPANIES LESS THAN 10 YEARS OLD AND LATE-STAGE TECH INVESTMENTS; ABOVE DATA EXCLUDES POST-2018 INVESTMENTS INTO FLIPKART

SOURCE: VENTURE INTELLIGENCE

STAGE FACTOR

Late- and Growth-PE-stage funding have dried up in 2022. But the number of deals has fallen across all stages



*AS OF DECEMBER 13, 2022

SOURCE: VENTURE INTELLIGENCE

THIS VERY rare for India to be in this position,” says Karthik Reddy, Managing Partner of Blume Ventures and Chairperson of industry body IVCA, indicating that the country has never had the luxury of as much venture capital (VC) surplus money as it has today. Over the past three years, VCs in India have raised about \$13 billion, data from Venture Intelligence shows. And this only reflects the amount secured by India-dedicated funds. Per global alternative assets data specialist Preqin, VCs

globally are sitting on a record \$534 billion of dry powder (capital available with VCs but not deployed yet). Also, start-ups attract capital from a number of sources that aren’t captured in these estimates.

Now, capital raised is not the same as capital invested. The pile of cash is mounting, but VCs are not pumping in the money into start-ups at any great pace. Start-up funding in India dropped 35 per cent to \$24.7 billion in January-November 2022, from \$37.2 billion in the corresponding period last year, says a report by data platform Tracxn. New-age firms across stages and sectors

are cutting costs to extend their runways. Start-ups such as BYJU’S, Zomato, Ola and others have sacked nearly 14,000 people so far in 2022. The question then is, does the abundance of cash give start-ups a reason to be optimistic?

WAIT AND WATCH

Given the absurd volumes of VC funding in 2021, limited partners (LPs) would want general partners (GPs, or fund managers) to be more thoughtful about capital deployment, and not run through the allocations in a hurry. Which, in plain terms, is not very good news for